

that their diamonds are now worth a fraction of what they paid for them. The diamond market went through great turmoil in the late '70s, and even now it has not totally recovered. In addition, the value of gems depends on a wide variety of factors such as size, quality, clarity, cut, and color. It is almost impossible for a novice to know the real value of a gem, even with a "certified" appraisal.

A case in point was a couple who donated a one-carat, flawless diamond to our ministry to help develop some materials. They had paid \$14,000 for the stone as an investment in the mid '70s and had an appraisal from a leading gemologist which substantiated the value.

We had the diamond reappraised for resale and found that the cut was flawed, lowering its value to approximately \$6,000. The couple's investment, after earning loss, had netted a *negative* 70 percent, and yet they had followed all the counsel they had been given at the time of purchase. The one thing they lacked was a guaranteed buy-back. However, since the sales company folded, that would have been of no value either.

So the rule is, stay with what you know or with someone you thoroughly trust.

CONCLUSION

We have completed the 10 keys to successful investing. Obviously, this is not an exhaustive review, but I trust it will provide you with the pointers to get started in an investment strategy once you have your budget under control and develop a surplus.

Many excellent materials are available to you, including good books on investing which you can check out of most public libraries. Just be careful about taking their total counsel because so many are based on the leverage principle. You need to evaluate the risk involved with any investment. I hope over the time that we've spent together, I have at least made that abundantly clear. If not, let me repeat it. There are risks involved with any investment. The higher the promised re-